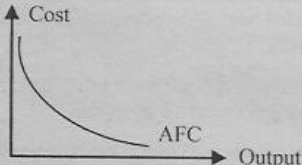
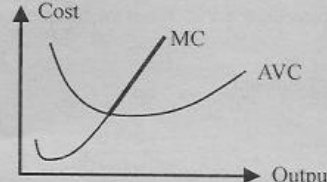
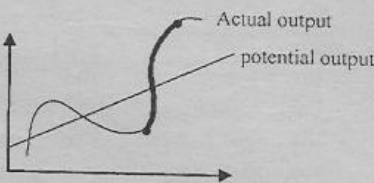


Question No.	Answer No.	Explanation of the reason												
1	(3)	The foundation of economics is scarcity that arises due to unlimited wants and limited resources. Scarcity leads to choice.												
2	(5)	The opportunity cost arises due to choices made. When the best alternative is chosen, the value of the next best alternative is the opportunity cost												
3	(1)	Economic goods are goods that are produced by humans and hence a production cost incurs. They must have an opportunity cost. Consumer does not have to bear a cost necessarily.												
4	(5)	The three main functions of price mechanism in a free market economy are signalling, rationing and incentive functions.												
5	(4)	Personal income in a market economy is determined by the factor prices, the quantity of factors exchanged. Factor price's depend on the quality of factors.												
6	(1)	The production possibility curve shows the full production and full employment												
7	(2)	$\text{Price elasticity of demand} = \frac{bp}{a - bp}$ $= \frac{-8 \times 10}{200 - 8 \times 100}$ $= \underline{\underline{-0.66}}$												
8	(2)	The price elasticity of demand measures the sensitivity of quantity demanded of a good and changes of its price												
9	(1)	When the price elasticity of demand is inelastic the relationship between the price of the good and the total revenue (PXQ) is positive.												
	(3)	The goods which have price inelastic demand are subject to large fluctuations of price.												
11	(3)	If the demand and supply curves are linear the gap between the number is the same. <table border="1"> <thead> <tr> <th>Price</th><th>Demand</th><th>Supply</th></tr> </thead> <tbody> <tr> <td>60</td><td>600</td><td>600</td></tr> <tr> <td>80</td><td>400</td><td>800</td></tr> <tr> <td>100</td><td>200</td><td>1000</td></tr> </tbody> </table>	Price	Demand	Supply	60	600	600	80	400	800	100	200	1000
Price	Demand	Supply												
60	600	600												
80	400	800												
100	200	1000												
12	(1)	$QS = 100 + 10P$ $= 100 + 10(P - 5)$ $= 100 + 10p - 50$ $= 50 + 10P$												
13	(1)	Output No. of workers												

Question No.	Answer No.	Explanation of the reason
14	(5)	The law of returns to scale is related to the long run. In the long run all the inputs except technology vary.
15	(4)	Total cost = Total fixed cost + total variable cost. As the fixed costs cannot change the total cost curve depends on total variable cost curve.
16	(5)	
17	(1)	
18	(4)	The nature of the product in Perfect competition - homogeneous Monopolistic competition - differentiated Oligopoly - homogeneous and differentiated Monopoly - Unique
19	(3)	The demand curve of a perfectly competitive firm is a horizontal line because the supplier is a price taker.
20	(2)	A monopoly cannot decide both price and quantity simultaneously.
21	(1)	The profit maximising output of a firm is the point at which marginal cost equals marginal revenue. It occurs at a point where marginal cost is rising.
22	(3)	 When the actual output is greater both employment and inflation rise.
23	(3)	Trade balance = GDP - GDE. (GDE = C + G + I) = 1920 - (1200 + 300 + 400) = <u>20</u>
24	(3)	Real per capita GDP = $\frac{\text{Nominal GDP}}{\text{Price index} \times \text{population}}$ = $\frac{[13.5\% - (6\% + 1.2\%)]}{\text{population}}$ = <u>6.3%</u>

Question No.	Answer No.	Explanation of the reason
25	(3)	If GNP at constant prices in a year is greater than GNP at constant prices in the base year, either output should increase or general price level decreases or both should occur simultaneously.
26	(5)	The money supply is a given quantity at a given time, but income is a continuous process.
27	(4)	The most important determinants of the demand for money are real income and interest rate. Other determinants are expected inflation, technological changes and institutional factors.
28	(2)	When the level falls the purchasing power of money rises.
29	(5)	$M_{2b} = M_2 +$ foreign currency deposits such as NRFC and resident deposits in OBUS.
30	(1)	Macroeconomic stability takes two forms. Internal Stability - price stability, employment level External stability - exchange rate, BOP equilibrium
31	(2)	When the rate of interest is reduced the cost of production falls and production rises. As a result employment, economic growth etc increase.
32	(4)	Monetary policy - interest rates and money supply. Fiscal policy - government revenue, government expenditure and government borrowing.
33	(3)	Two main characteristics of a public good are non-excludability and non-rivalry in consumption
34	(5)	The economic growth rate of Sri Lanka is faster in recent years. Although the public debts rise, GDP increases faster than that.
35	(1)	Since merit goods have positive externalities social benefits are greater than private benefits.
36	(5)	Supply side policy measures are measures that are used to increase production.
37	(3)	Construction, hotel and restaurants, and mining and quarrying industries have grown fast.
38	(4)	Poverty line, is to measure absolute poverty. Gini coefficient, & lorenz curve are to measure relative poverty.
39	(4)	The total benefit to the society before import is $A + B + G$. After import the total benefit increases by $C + F$ and the total benefit $A + B + G + C + F$
40	(2)	International trade occurs due to differences like factor endowment, technological changes, returns to scale, consumer taste and preferences etc.
41	(4)	When Gini coefficient is close to one inequality is high. When per capita income rises, economic growth occurs.
42	(5)	Sustainable development consists of environment, social and economic development

Question No.	Answer No.	Explanation of the reason									
43	(2)	<table> <tr> <td></td><td>Sri Lanka</td><td>India</td></tr> <tr> <td>Opportunity cost of tea</td><td>$\frac{120}{100} = 1.2$</td><td>$\frac{100}{90} = 1.1$</td></tr> <tr> <td>Opportunity cost of garments</td><td>$\frac{100}{120} = 0.8\bar{3}$</td><td>$\frac{90}{100} = 0.9$</td></tr> </table> The country with lower opportunity cost has comparative advantage.		Sri Lanka	India	Opportunity cost of tea	$\frac{120}{100} = 1.2$	$\frac{100}{90} = 1.1$	Opportunity cost of garments	$\frac{100}{120} = 0.8\bar{3}$	$\frac{90}{100} = 0.9$
	Sri Lanka	India									
Opportunity cost of tea	$\frac{120}{100} = 1.2$	$\frac{100}{90} = 1.1$									
Opportunity cost of garments	$\frac{100}{120} = 0.8\bar{3}$	$\frac{90}{100} = 0.9$									
44	(3)	The main Sources of foreign exchange earnings of Sri Lanka are inward remittances, garments, earning from tourism, tea and rubber.									
45	(4)	An unemployed individual is one who is unemployed and looking for employment.									
46	(2) or (3)	The labour force participation rate of Sri Lanka has decreased but the male labour force participation rate has increased.									
47	(5)	The sub-indices that Sri Lanka should focus for further increase are education participation rate and purchasing power parity adjusted per Capita income.									
48	(4)	According to 2012 CBSL annual report. economic growth rate 6.4% unemployment rate 4.0% inflation rate 7.6%									
49	(3)	Outward migration of unskilled female workers to the middle east countries has many negative impact.									
50	(2)	Protectionism is a hindrance to globalization.									

Economics II - Model Answers

Sub Section A

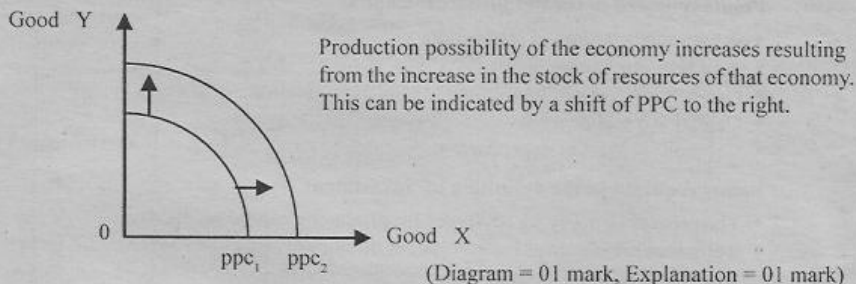
(Select minimum of two questions from this Section)

1. (i)
 - Resources are relatively limited in comparison to unlimited human wants (03 marks)
 - Existence of alternative uses of resources. (01 mark)
- (ii)
 - Entrepreneurship coordinates and combines factors of production in the production process.
 - Entrepreneurship takes policy decisions on production while other factors do not.
 - Entrepreneurship takes risk while other factors do not.
 - Entrepreneurship engages in innovations and inventions while other factors do not.
 - The share of entrepreneurship can be positive, zero or negative while it is not so for other factors.

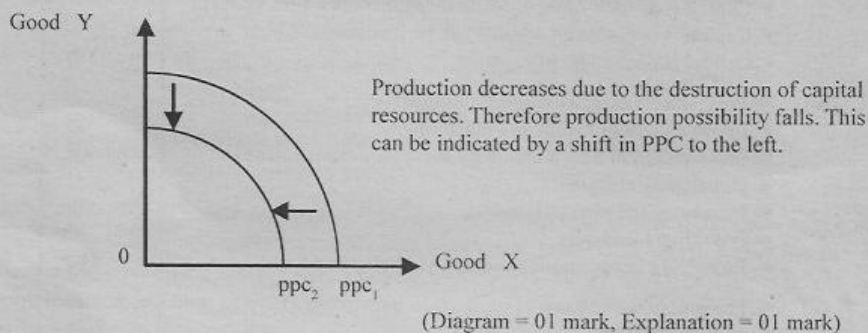
(1 × 4 = 04 marks)

* The total marks should be given for comparative answers.

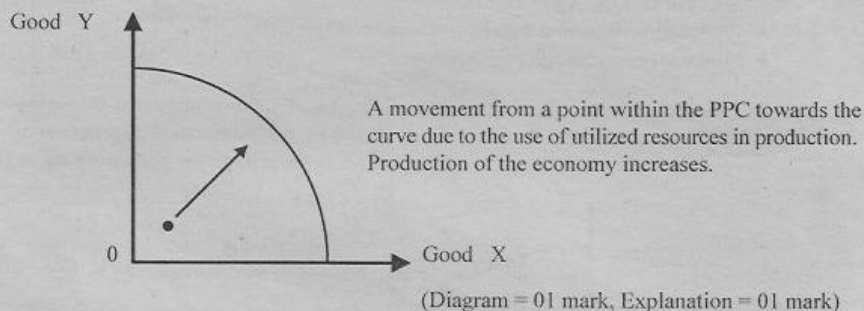
- (iii) (a) **Returning of a significant number of professionals who had been in foreign countries.**



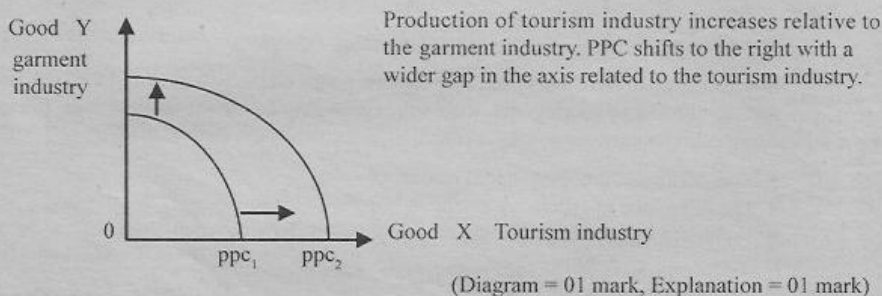
- (b) **Destruction of capital resources of a country due to a natural disaster.**



- (c) **Use of unutilized rural resources in production due to the expansion of road network.**



- (d) **A rapid expansion of the tourism industry in comparison to the garment industry.**



- (iv) (a) Opportunity costs between the given points are as follows. Opportunity cost of producing a good X in good Y.

Units of Y

$$A - B \quad \frac{10}{20} = 0.5$$

$$B - C \quad \frac{15}{20} = 0.75$$

$$C - D \quad \frac{20}{20} = 1.0$$

$$D - E \quad \frac{35}{20} = 1.75$$

$$E - F \quad \frac{70}{20} = 3.5$$

(02 marks)

- (b) There is no opportunity cost. (01 mark)

- Employing the unemployed resources does not involve an opportunity cost.

- Since there is only a movement from a point within the PPC towards the curve, there is no opportunity cost. (01 mark)

3. (i) • Number of buyers
• Price of mobile phones
• Price of land (fixed) phones / prices of other phones (prices of substitutes)
• Price of SIM (prices of complementary goods).
• Consumer income
• Consumer taste
• Future price expectations

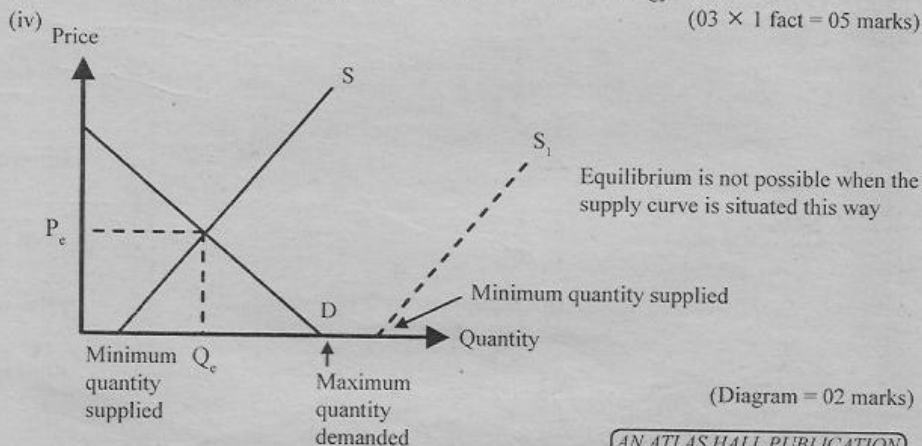
(1 × 4 = 04 marks)

- (ii) • The suppliers' profit
• Marginal cost/marginal opportunity cost
• increasing opportunity cost

(03 × 1 fact = 05 marks)

- (iii) • Prices of other goods which can be produced through similar inputs.
• Other goods which can be produced using the same technology.

(03 × 1 fact = 05 marks)



It is required to have the minimum quantity supplied and maximum quantity demanded shown in the diagram, showing 'S' curve is not necessary.

There is no market equilibrium when the minimum supply is greater than the maximum quantity demanded. An equilibrium exists only when minimum quantity supplied is less than the maximum quantity demanded. (03 marks)

4. (i) At the equilibrium

$$Q_d = Q_s$$

$$150 - 5P = 75 + 10P$$

$$150 - 75 = 10P + 5P$$

$$15P = 75$$

$$P = \frac{75}{15}$$

$$P = 5/-$$

(01 mark)

Equilibrium price is Rs. 5/=

Equilibrium quantity

Value of price for Qd function

$$Q_d = 150 - 5P$$

$$Q_d = 150 - (5 \times 5)$$

$$Q_d = 150 - 25$$

$$Q_d = 125$$

Value of p for Qs function

$$Q_s = 75 + 10P$$

$$Q_s = 75 + 10 \times 5$$

$$Q_s = 75 + 50$$

$$Q_s = 125$$

Equilibrium quantity is 125 units.

(01 mark)

- (ii) Consumer Surplus = $\frac{(\text{Maximum price of demand} - \text{equilibrium price}) \times \text{equilibrium quantity}}{2}$

$$= \frac{(30 - 5) \times 125}{2} \quad (02 \text{ marks})$$

$$= \frac{25 \times 125}{2}$$

$$= \underline{\underline{\text{Rs. 1562.50}}} \quad (01 \text{ mark})$$

$$\begin{aligned} \text{(iii) Coefficient of } pED &= \frac{-b \times P}{Q_d} \\ &= 5 \times \frac{5}{125} = -\frac{1}{5} \end{aligned} \quad (01 \text{ mark})$$

$$= \underline{\underline{-0.2}} \quad (01 \text{ mark})$$

$$\begin{aligned} \text{Coefficient } pES &= b \times \frac{P}{Q_s} \\ &= 10 \times \frac{5}{125} = \frac{2}{25} \\ &= \underline{\underline{0.4}} \end{aligned} \quad \begin{array}{l} (01 \text{ mark}) \\ (01 \text{ mark}) \end{array}$$

- (iv) (a) Demand and supply equations after tax
Difference between P_b and P_s is the unit tax.

$$Q_d = 150 - 5P_b$$

$$Q_s = 75 - 10P_s$$

$$t = \text{tax}$$

$$P_b = P_s + t$$

$$P_s = P_b - t$$

At the equilibrium $Q_d = Q_s$

$$150 - 5P_b = 75 + 10P_b$$

$$150 - 5P_b = 75 + 10(P_b - t)$$

$$150 - 5P_b = 75 + 10(P_b - 1.50)$$

$$150 - 5P_b = 75 + 10P_b - 15$$

$$-5P_b - 10P_b = 150 + 75 - 15$$

$$-15P_b = -90$$

$$15P_b = 90$$

$$P_b = \frac{90}{15}$$

$$P_b = 6$$

Equilibrium price after tax is Rs. 6

(01 mark)

Equilibrium quantity after tax.

$$Q_d = 150 - 5P_b$$

$$= 150 - 5 \times 6$$

$$= 120$$

(01 mark)

- (b) Government tax revenue = unit tax $\times$ new equilibrium quantity

(01 mark)

$$= 1.50 \times 120$$

$$= \underline{\underline{\text{Rs. 180}}}$$

(02 marks)

- (c) The influence of tax on consumer surplus.

$$\text{Consumer surplus after tax} = \frac{(\text{maximum price of demand} - \text{equilibrium price after tax}) \times \text{equilibrium quantity after tax}}{2}$$

$$= \frac{(30 - 6) \times 120}{2}$$

$$= \frac{24 \times 120}{2}$$

$$= \underline{\underline{\text{Rs. 1440}}}$$

Consumer surplus before tax - Consumer surplus after tax

(01 mark)

$$= 1562.50 - 1440$$

(01 mark)

$$= 122.50$$

reduced by Rs. 122.50

(01 mark)

Alternative answer

$$\frac{125 + 120}{2} \times 1$$

reduced by 122.50

(d) The value of dead weight loss to the society due to the tax.

$$= \frac{\text{Unit tax} \times \text{difference in sales quantity after tax}}{2}$$

$$= \frac{1.50 \times (125 - 120)}{2} \quad (02 \text{ marks})$$

$$= \text{Rs. 3.75} \quad (01 \text{ mark})$$

(marks should be given if the answer is correctly obtained through graphical or alternative method).

5. (i) (a) Aggregate demand function

$$\text{AD} = \text{private consumption} + \text{domestic private investment} + \text{Government purchasing} + \text{Net exports}$$

$$= C + I + G + X - M$$

or

$$\text{AD} = C + (I + D) + G + (X - M)$$

(b) Gross domestic expenditure = $C + I + G$ (02 marks)

$$= 800 + 200 + 150$$

$$= \text{Rs. 1150 Million} \quad (01 \text{ mark})$$

or

Gross domestic expenditure = $C + (I + D) + G$ (02 marks)

$$= 800 + (200 + 40) + 150$$

$$= \text{Rs. 1190 Million} \quad (01 \text{ mark})$$

(c) Gross national expenditure

$$\text{GNE} = \text{GDE} + X - M + \text{NFIA}$$

$$= \text{Gross domestic expenditure} + \text{Net export} + \text{Net foreign income from abroad.}$$

(01 mark)

$$= 1150 + (80 - 60) + (40 - 60) \quad (01 \text{ mark})$$

$$= 1150 + 20 - 20$$

$$= \text{Rs. 1150 Million} \quad (01 \text{ mark})$$

or

$$\text{GNE} = \text{GDE} + \text{NX} + \text{NFIA}$$

$$= 1190 + 20 - 20 \quad (02 \text{ marks})$$

$$= \text{Rs. 1190 Million} \quad (01 \text{ mark})$$

(d) Net national expenditure = $\text{GNE} - \text{depreciation}$

$$= 1150 - 40$$

$$= \text{Rs. 1110 Million.} \quad (02 \text{ marks})$$

(01 mark)

or

Net national expenditure = $\text{GNE} - \text{depreciation}$

$$= 1190 - 40$$

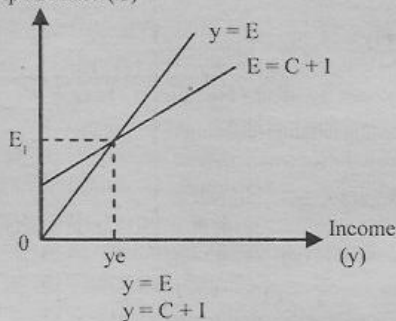
$$= \text{Rs. 1150 Million.} \quad (02 \text{ marks})$$

(01 mark)

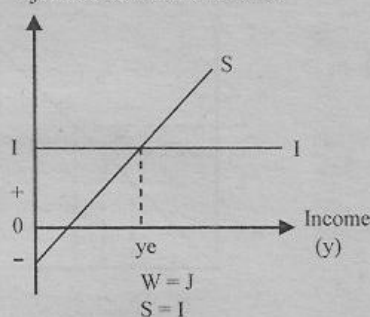
* The formula is not compulsory.

(ii) Macro economic equilibrium from a diagram

Expenditure (E)



Injects & withdrawals W/J



(One correct diagram = 02 marks, Explanation = 02 marks)

(iii) In a simple economy, the multiplier affects the equilibrium national income in a magnitude of its inverse multiplied by the change in investment.

The multiplier of a simple economy is determined on the marginal propensity to consume (MPC)

$$k = \frac{1}{1-b}$$

(01 mark)

Example:

In an economy where MPC = 0.8, if the autonomous investment increases by Rs. 100mn, equilibrium national income will increase by Rs. 500mn.

$$k = \frac{1}{1-b}$$

$$b = \text{MPC}$$

$$\therefore k = \frac{1}{1-0.8} = \frac{1}{0.2} = 5$$

(01 mark)

$$\begin{aligned} \Delta y &= k \times \Delta I \\ &= 5 \times 100 \\ &= \underline{\underline{500}} \end{aligned}$$

Accordingly national income rises by Rs. 500mn.

(01 mark)

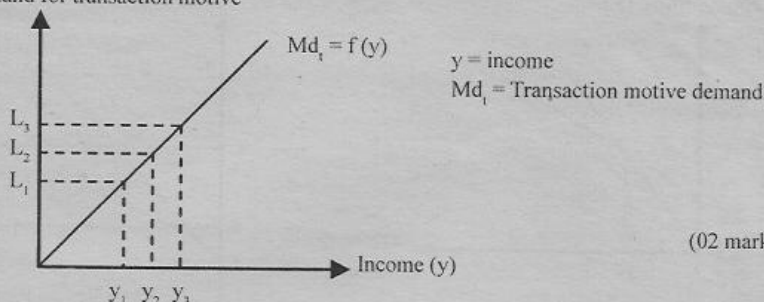
Sub Section B

6. (i) • Demand for transaction motive is the cash balances that people keep with them for the transactions during the time gap between the time of receiving income and the time of spending income.

(01 mark)

The relationship between the transaction motive demand for money and income is positive.

Demand for transaction motive



(02 marks)

- (ii)
- The loans taken through credit cards are included under credit to private sector according to the M_2 definition. A credit card is a mode of granting loans. The amount of loan that the credit card holder obtains through the card is included in the money supply. (02 marks)
 - In contrast, debit cards are issued against the already existent bank deposits. Such deposits are already included in the money supply (M_2) even if debit cards are used or not. Hence an inclusion of payments made by debit cards causes a double counting. (02 marks)
- (iii) The two main objectives of the CBSL are
- Economic and price stability
 - Financial system stability. (02 marks)

The central bank engages in the following activities in order to fulfil these objectives.

- The central bank controls the monetary policy in order to maintain price and economic stability. Monetary base and the instruments of controlling money supply namely, interest rates, SRR and OMO are used for this purpose.
- Stability of financial system means maintaining stable financial institutional system in the content of internal and external shocks.
 - Liquidity management of the banking system.
 - Supervision and regulation of financial institution
 - Management of foreign exchange etc.

(Two answers; 01 mark, 01 fact = 03 marks)

- (iv) **Qualitative credit control instruments are**

- prescription of margin requirements for letters of credit
- Imposing credit ceilings.
- Changes in collateral.
- Moral suasion
- Prescription of selective interest rates. (01 mark for 01 fact = 05 marks)

7. (a)
- Ensure a legal framework for the efficient functioning of the economy.
 - Increasing the efficiency of distribution of resources
 - * Supply of public goods that the private sector would not provide.
 - * Control of externalities
 - Increasing the efficiency of utilization of public resources.
 - Making the income distribution equitable.
 - Promoting the stability of the economy
 - Promoting economic growth

- Providing incentives
- Providing infrastructure facilities.

(01 mark for 01 fact = 05 marks)

- (b) • Current expenditure
• Capital expenditure

(02 marks)

Current expenditure

- * expenditure on goods and services
- * Interest payments
- * subsidies and transfers

Capital expenditure

- * Acquisition of real assets
- * Capital transfers
- * Provision for under expenditure

(01 mark per sub-heading, 03 facts = 3 marks)

- (c) The main sources used in recent years were

	Marks
1. Domestic financing	01
• Market borrowing	01
• Borrowing from the banking sector	01
• Borrowing from the non-banking sector	01
2. Foreign Financing	01
	05

(05 marks)

(d)

Year	Public debt as a % of GDP	Public debt as a % of govt expenditure
2010	81.9	100.4
2011	78.5	92.5
2012	79.2	96.8
2013	78.3	102.2

(correct values of 2 approximate years above = 3 marks)

8. (a) The opportunity cost of producing the two goods is calculated as below.

	<u>China</u>	<u>Sri Lanka</u>
Opportunity cost of producing a unit of machinery	$\frac{150}{50} = 3$	$\frac{50}{10} = 5$
Opportunity cost of producing a unit of garment	$\frac{50}{150} = 0.33$	$\frac{10}{50} = 0.2$

Therefore,

- China Should specialize in machinery since that country's opportunity cost is lower for machinery.
- Sri Lanka should specialize in garments since Sri Lanka's opportunity cost is lower for garments.

(Only 2 marks if the reasons are not given)

- (b) • China should import 3 or 5 units of garments by exporting 1 unit of machinery
• Sri Lanka should import 0.2 to 0.33 units of machinery by exporting 1 unit of garment.

(Terms of trade ratio of one country - 3 marks)
(Terms of trade ratio of both countries - 5 marks)

(c) **Tariff barriers**

- export tariffs
- import tariffs.

(02 marks)

Non-tariff barriers

- Rationing
- Import - export licenses
- Voluntary export restraints
- Dumping
- Import bans
- Compulsory standards for health & environment
- Exchange control
- Trade agreements
- banking roots of origin
- Cartels
- Regional economic cooperation
- Export incentives.

(03 marks)

- (d)
- To protect infant industries
 - To increase employment
 - To minimize BOP problems
 - To avoid the effects of dumping
 - To turn the terms of trade in favour of the country
 - To impose retaliative barriers
 - To get the maximum benefits from local resources.
 - To generate income for the government
 - To protect industries strategically important
 - To ensure national security
 - To protect domestic culture.

(01 mark for 01 fact = 05 marks)

9. (a) Economic growth is a continuous increase in the real gross domestic/national product which expands production potential of the economy in the long run.

(03 marks)

There are two methods to measure economic growth

- Annual percentage change in the real domestic / national product
- Annual percentage change in the per capita real domestic / national product. (02 marks)

- (b) In the economic growth process

- Expansion of all three sectors, agriculture, industries and services.
- Industrial and service sectors expand at a faster rate than the agricultural sector.
- The service sector turns out to be the most important sector of the economy.

(Relative utilization of resources and technological changes in all sectors)

(02 marks for 01 fact = 05 marks)

- (c) Economic development is an increase in the economic status and quality of human life and it is a process of transformation. For economic development, the following conditions should be attained with the economic growth.

- Structural changes in the production sectors of the economy
- Increase in productivity of resources
- Advancement in technology and production techniques.

- Modernization.
- Reduction in poverty unemployment, income disparity of the economy due to the trickling down of the benefits of growth and on increase in the choice occur with the economic development.

The advancement should be seen in all economic, social, political, cultural and environmental sectors in this process. There fore it can be concluded that economic development is a multidimensional process.

(1 × 1 = 5 marks)

- (d) The frequently used measure 'Poverty Head Count Index' in Sri Lanka is as follows in the recent years.

Year	1995/96	2002	2006/7	2009/10	2012/13
Percentage	28.8	22.7	15.2	8.9	6.5

(03 marks)

Poverty in Sri Lanka has gradually reduced since 1995/96 upto 2013.

(02 marks)

10. (a)
- Rapid expansion of the construction industry
 - Continuity of the infrastructure development
 - Political stability and peace.
 - Development of the tourism industry
 - Continuation of favourable climatic conditions.
 - Regional development programs
 - Skill development
 - Technological advancement
 - Expansion of the market

(1 × 1 = 05 marks)

- (b) Importance of the service sector in the Sri Lankan economy can be shown as follows.

Year	Service sector as a % of GDP	Service sector as a % of employment
2011	58	42.9
2012	57	43.0
2013	56	44.1

(02 marks)

- Highest contribution to GDP
- Higher contribution to employment
- Generating positive externalities
- Providing infrastructure facilities.
- Favourable for sustainable development due to lower usage of natural resources.

(1 × 1 = 03 marks)

- (c)
- Diversification of energy sources and minimization of cost
 - Removal of labour market rigidities.
 - Increasing the number of capital formation sources and minimising the costs.
 - Promoting foreign direct investments
 - Providing fiscal incentives to improve technology
 - Providing incentives such as tax reliefs to SMES
 - Providing incentives to enter the global market.
 - Entrepreneurial incentives and training.

(1 × 1 = 05 marks)

- (d)
- Randora Program
 - * Port at Hambantota
 - * Airport at Mattala
 - * Highway (Southern, Katunayake and others)
 - * Lakwijaya power plant at Norochhole
 - * Hydropower plant at upper Kothmale
 - * Thermal power plant at Kerawalapitiya
 - * Road, railway development program in the North
 - * Port development at Colombo South
 - Maga Neguma
 - Nenasala, vidatha centres Mahindodaya laboratories.

(1 × 1 = 05 marks)



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